

engine are not bearing much fruit. From the traditional graph alone, you cannot tell whether IMVU is on pace to build a sustainable business; you certainly can't tell anything about the efficacy of the entrepreneurial team behind it.

Innovation accounting will not work if a startup is being misled by these kinds of vanity metrics: gross number of customers and so on. The alternative is the kind of metrics we use to judge our business and our learning milestones, what I call actionable metrics.

ACTIONABLE METRICS VERSUS VANITY METRICS

To get a better sense of the importance of good metrics, let's look at a company called Grockit. Its founder, Farbood Nivi, spent a decade working as a teacher at two large for-profit education companies, Princeton Review and Kaplan, helping students prepare for standardized tests such as the GMAT, LSAT, and SAT. His engaging classroom style won accolades from his students and promotions from his superiors; he was honored with Princeton Review's National Teacher of the Year award. But Farb was frustrated with the traditional teaching methods used by those companies. Teaching six to nine hours per day to thousands of students, he had many opportunities to experiment with new approaches.²

Over time, Farb concluded that the traditional lecture model of education, with its one-to-many instructional approach, was inadequate for his students. He set out to develop a superior approach, using a combination of teacher-led lectures, individual homework, and group study. In particular, Farb was fascinated by how effective the student-to-student peer-driven learning method was for his students. When students could help each other, they benefited in two ways. First, they could get customized instruction from a peer who was much less intimidating than a teacher. Second, they could reinforce their learning by teaching it to others. Over time, Farb's classes became increasingly social—and successful.

As this unfolded, Farb felt more and more that his physical presence in the classroom was less important. He made an